Cost Benefit Analysis

Auditrack Proposed BudgetTable 4.4 Cost Benefit Analysis

Category / Cost Item	Year 0 (PHP)	Year 1 (PHP)	Year 2 (PHP)	Year 3 (PHP)	Total (PHP)
Development Costs					
System Analysis, Design & Wireframing	₱1,000.00	—	—	—	₱1,000.00
Software & Database Development	₱2,000.00	—	—	—	₱2,000.00
Testing & Deployment (Student Proponents)	₱0.00	—	—	—	₱0.00
User Training & Orientation	₱0.00	—	—	—	₱0.00
Hardware & Software Costs					
Development Workstation (i3, 16GB RAM, 500GB SSD)	₱36,000.00	—	—	—	₱36,000.00
Cloud Backend Hosting Setup	₱1,000.00	—	—	—	₱1,000.00

Category / Cost Item	Year 0 (PHP)	Year 1 (PHP)	Year 2 (PHP)	Year 3 (PHP)	Total (PHP)
Cloud Database (Supabase Free Plan)	₱0.00	—	—	—	₱0.00
Frontend & Domain/SSL (Vercel Free Tier)	₱0.00	—	—	—	₱0.00
Development Tools (Antigravity)	₱285.00	—	—	—	₱285.00
Annual Operating Costs					
Backend Hosting Renewal	—	₱1,000.00	₱1,000.00	₱1,000.00	₱3,000.00
System Maintenance & Bug Fixes	—	₱2,000.00	₱2,500.00	₱3,000.00	₱7,500.00
TOTAL COSTS	**₱40,285.00**	**₱3,285.00**	**₱3,785.00**	**₱4,285.00**	**₱51,640.00**
TOTAL EXPECTED BENEFITS	—	**₱40,000.00**	**₱48,000.00**	**₱56,000.00**	**₱144,000.00**
Reduced Paper, Printing & Folders	—	₱12,000.00	₱14,000.00	₱16,000.00	₱42,000.00
Labor & Overtime Reduction	—	₱20,000.00	₱24,000.00	₱28,000.00	₱72,000.00
Record Retrieval & Audit	—	₱8,000.00	₱10,000.00	₱12,000.00	₱30,000.00

Category / Cost Item	Year 0 (PHP)	Year 1 (PHP)	Year 2 (PHP)	Year 3 (PHP)	Total (PHP)
Preparation					
ANNUAL NET BENEFIT	**-₱40,000.00**	**₱37,000.00**	**₱44,500.00**	**₱52,000.00**	**₱93,500.00**

Payback Period Analysis

Table 4.5. Payback Period and Cumulative Cash Flow

Period	Net Cash Flow (PHP)	Cumulative Cash Flow (PHP)	Status
Year 0 (Initial Investment)	-₱40,000.00	-₱40,000.00	Initial Outlay
Year 1	+₱37,000.00	-₱3,000.00	Unrecovered
Year 2	+₱44,500.00	+₱41,500.00	Recovered
Year 3	+₱52,000.00	+₱93,500.00	Net Profitable